

Tempus AI, Inc.

TEM NASDAQ

Buy	\$52.32 ▲ 9.41%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.39B
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TEM: +9.4% Rip on Bullish Flow; Reiterate Buy

WHAT'S CHANGED

- TEM ripped +9.41% to \$52.32 on 10.2M shares (~60% above 5-day avg), reclaiming the \$50 level after four sessions of consolidation in the \$47.82–\$49.59 band — move coincides with Technology ETF +3.78% sector tailwind.
- Aggressive bullish options positioning: P/C 0.18 with unusual call activity at \$52/\$53 (Jun) and \$55 (Jul, 14.8x OI), signaling near-term upside speculation despite CEO Lefkofsky's late-May \$3.2M cluster sale at \$46.17–46.89.

IMPLICATIONS

Today's price action confirms TEM is reasserting leadership in the healthcare-AI mid-cap cohort, with sponsorship from a broad-tech risk-on tape (XLK +4.13% 5D) lifting high-beta names with credible AI narratives. The Simply Wall St. and Insider Monkey notes reinforce a re-rating thesis after the YTD drawdown, and bullish options flow combined with concentrated institutional ownership (ARK, BlackRock, Baillie Gifford each ~5%) suggests positioning is tilting toward upside even as insider sales create a sentiment overhang. Net: the setup favors continuation toward the upper-\$50s if tech leadership holds, but the CEO selling pattern caps how aggressive we get on sizing.

VALUATION

At \$9.39B market cap on FY26E revenue of ~\$1.24B, TEM trades ~7.6x forward EV/Revenue — a discount to high-growth diagnostics/AI-health peers (Veeva ~12x, GH ~5x but slower-growing) given ~30%+ growth and improving gross margin mix from Data/AI Applications. Our \$68 PT reflects 9.0x FY27E revenue, implying ~30% upside; multiple expansion contingent on path-to-EBITDA-breakeven proof points and continued pharma data deal flow.

KEY RISKS

- Persistent cash burn and dilution risk; FY26 EPS still meaningfully negative (~-\$1.05E).
- Continued insider selling by CEO Lefkofsky (>\$3M in late May) may pressure sentiment and weigh on multiple.
- Reimbursement/regulatory risk on Genomics arm; concentration in oncology testing competition (NTRA, GH, EXAS).

RECENT NEWS

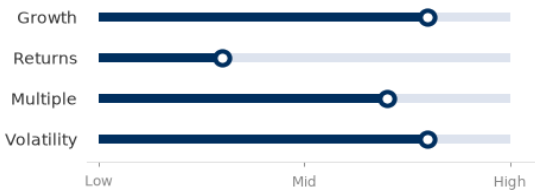
Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

Tempus AI (TEM) Is One Of The Best Healthcare Mid-Cap AI Stock According To Analysts Insider Monkey · 2026-06-10 09:24

Key Data

Price (USD)	\$52.32
12M Price Target	\$68.00
Upside / (Downside)	+30.0%
Market Cap	\$9.39B
FY2026E Revenue	\$1,240M
FY2027E Revenue	\$1,580M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$58.00	\$53.00	\$45.00
6 Months	\$75.00	\$62.00	\$42.00
1 Year	\$92.00	\$68.00	\$38.00
2 Years	\$125.00	\$85.00	\$32.00
5 Years	\$210.00	\$130.00	\$25.00
10 Years	\$420.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Consumer Discretionary

COLD SECTORS: Utilities, Communication Services

ROTATION WATCH: Risk-on rotation into Tech/AI complex (+3.78% 1D) is lifting healthcare-AI hybrids like TEM; if rates stabilize and pharma capex commentary stays constructive, expect continued flow into AI-enabled diagnostics.

BYPRODUCT PLAY: Pharma R&D efficiency push benefits real-world data providers (TEM, VEEV, ICLR); secondary beneficiaries include foundation-model infrastructure names and clinical-trial AI tooling.

OUTPERFORMERS & PEER CONTEXT

- RXXR (Recursion Pharmaceuticals): AI-drug discovery peer benefiting from same techbio narrative; outperforming on partnership news flow.
- VEEV (Veeva Systems): Life-sciences SaaS compounding at premium multiple, validating the data-monetization playbook TEM is building.

TEM CONTEXT: TEM is reclaiming relative strength after lagging earlier in 2026 (down 23% YTD per Simply Wall St.); today's outsized volume (+60% vs avg) and 9%+ rip suggest TEM is starting to pull alongside the AI-health cohort rather than lag — confirmation requires a close above the \$54 prior resistance.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$48-50 on pullbacks; add >\$54 on breakout confirmation

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth decel <25% YoY or loss of major pharma data partnership

Hedging: Pair vs short basket of unprofitable AI/healthtech (e.g., GH, NTRA) or July \$45 puts